***Note:*** The transaction dated April 17th will not be recorded in the cash book as it is a credit transaction. The transaction on 30th is not recorded as the payment is made through bank which does not involve cash.

### 7.6.2 Posting from single column cash book

Since cash book serves as 'journal' as well as 'ledger account', there is no need for preparing separate cash account and posting thereto. But entering cash transactions in cash book means recording only cash aspect of each transaction. The other aspect of the transaction remains to be posted. When the related accounts are posted, the double entry will be completed. The procedure for posting is:

- Credit the accounts mentioned on the receipts (or) debit side by entering 'By Cash account' and
- Debit the accounts mentioned on the payment (or) credit side by entering 'To Cash account'.

For example, for illustration 2, posting is made to sales account and purchases account as follows:

**Dr.** **Sales** **Cr.**

| Date | Particulars | L.F. | Amount ` | Date | Particulars | L.F. | Amount ` |
|---|---|---|---|---|---|---|---|
| 2017 | | | | 2017 | | | |
| April | | | | April 10 | By Cash A/c | | 11,000 |
| | | | | 14 | By Cash A/c | | 9,000 |

**Dr.** **Purchases A/c** **Cr.**

| Date | Particulars | L.F. | Amount ` | Date | Particulars | L.F. | Amount ` |
|---|---|---|---|---|---|---|---|
| 2017 | | | | 2017 | | | |
| April 5 | To Cash A/c | | 6,000 | April | | | |

## 7.7 Cash discount and trade discount

### a) Cash discount

Cash discount is allowed to the parties making prompt payment within the stipulated period of time or early payment. It is discount allowed (loss) for the creditor and discount received (gain) for the debtor who makes payment. The discount is allowed when payment is received or made and hence, the entry for discount is also passed with the entry of payment. The earlier the payment, the more may be the discount. Cash discount motivates the debtor to make the payment at an earlier date to avail discount facility. For example, the terms may be.

"5% discount will be allowed if the payment is made within one month.

3% discount will be allowed if the payment is made within two months".